means that if you expect a large decline (more than 10%) after a downward breakout, you'll be wrong about a third of the time in bull markets.

Busted occurrence. Sorting the busted patterns by their type, we find that single busts happen most often in bull markets, but triple (or more: triple+) busts happen more often in bear markets. That's probably incorrect because the sample size is so small (38 patterns for triple busts, 30 for single, and 4 for double).

Busted and non-busted performance. I used head-and-shoulders *bottoms* as the proxy for a busted top pattern. Single busted patterns outperformed the other two varieties. The numbers are high enough that you'll want to trade a busted head-and-shoulders top, but only in bull markets. And with 67% of them single busts, there's a good chance that you'll be trading a single busted pattern, too.

Trading Tactics

Table 41.10 shows trading tactics.

Measure rule, targets. Figure 41.5 shows an example of the measure rule as it applies to a head-and-shoulders top. If you ignore the backward volume pattern, the formation looks fine. Each of the three bumps appears rounded, and the overall chart pattern is symmetrical. This is how a head-and-shoulders top should look.